

Harbor Mutual Insurance — Personal Lines Division

UNDERWRITING GUIDELINES — Personal Lines Homeowners Program

These guidelines govern the eligibility, rating, and referral requirements for the Personal Lines Homeowners Program. Underwriters and agents must comply with these rules when quoting, binding, or endorsing coverage. Guidelines are effective for all new business and renewals with effective dates on or after January 1, 2026. Prior versions are superseded.

3. Coastal and Wildfire Exposure

- 3.1 Properties within 2,500 feet of tidal water require a Windstorm Mitigation Inspection (Form WMI-2). A hurricane deductible of 2% of Coverage A applies unless Named Storm Deductible Endorsement HO-410 is separately attached.
- 3.2 Properties located within a FEMA Special Flood Hazard Area (Zone A or V) require separate NFIP or private flood coverage as a condition of binding homeowners coverage.
- 3.3 Properties in Wildfire Risk Score Band 7-10 (per the approved vendor scoring model) require defensible-space documentation and are subject to a \$2,500 minimum fire-peril deductible.
- 3.4 Properties within a Very High Fire Hazard Severity Zone (VHFHSZ) require Firewise USA certification and are eligible only under the High-Value Homeowners program.

1. Eligibility Requirements

- 1.1 Insured property must be an owner-occupied, single-family dwelling or condominium unit. Non-owner-occupied or tenant-occupied dwellings require referral to the Commercial Lines unit.
- 1.2 Minimum dwelling replacement cost of \$150,000. Properties with replacement cost below this threshold are ineligible for this program.
- 1.3 Insured must reside at the property for a minimum of nine (9) months per calendar year. Seasonal or vacation homes require endorsement HO-500 (Seasonal Dwelling).
- 1.4 Properties with active foreclosure proceedings, tax liens exceeding \$10,000, or open code-enforcement violations are not eligible.

4. Prior Claims History

- 4.1 Two or more water-damage claims totaling \$15,000 or more in the prior three policy years trigger mandatory referral to a senior underwriter.
- 4.2 Any single liability claim exceeding \$50,000 in the prior five years requires a signed Loss Prevention Agreement prior to binding.
- 4.3 Properties with three or more claims of any type in the prior five years are ineligible for new business. Mid-term non-renewal authority applies at two claims exceeding \$10,000 each within the same policy year.
- 4.4 Dog-bite claims are excluded from favorable tier qualification for 36 months from the date of loss, regardless of severity.

2. Roof Age and Condition

- 2.1 Roofs 20 years or older at policy inception require a completed Roof Certification Form (RCF-10) or a third-party inspection report dated within 90 days of the effective date. Coverage for roof surfaces may be limited to Actual Cash Value absent current certification.
- 2.2 Roofs exhibiting active leaks, missing shingles covering more than 10% of total surface area, or structural sagging must be repaired prior to binding coverage.
- 2.3 Metal and tile roofs qualify for the Preferred Rate tier if installed within the past 25 years. Cedar shake roofs are subject to a 10% surcharge unless fire-treated and independently certified.

5. Referral Triggers — Submit to Underwriting

- 5.1 Any risk with a trampoline, diving board, or above-ground pool with a deck exceeding 18 inches above grade.
- 5.2 Exotic or dangerous animals, including but not limited to wolf hybrids, large constrictors over 6 feet, or venomous reptiles.
- 5.3 Home-based daycare, group home, or assisted-living operation on the premises.
- 5.4 Active renovation exceeding 25% of Coverage A replacement cost value.
- 5.5 Business equipment on premises with replacement value above \$15,000.

Questions regarding guideline interpretation should be directed to the Regional Underwriting Supervisor. Exceptions may be considered on a case-by-case basis with written approval from a senior underwriter. These guidelines are subject to change; refer to the current version in the underwriting portal before binding.